APPROPRIATIONS HEARING · FY2028

Transit State-of-Good-Repair

A $214M capital request to clear the backlog that is driving service failures across the regional rail network.

THE REPAIR BACKLOG

$1.4B

of deferred state-of-good-repair work
has accumulated across track, signals,
and rolling stock since FY2019.

The backlog is now driving the delays riders feel every morning.

Mean-distance-between-failures has fallen 38% in four years. Signal faults and slow-orders — direct symptoms of deferred repair — now cause two of every three weekday delays on the network.

Where the $214M request goes, by asset class.

01	**Signal modernisation**	Replaces 14 interlockings past their 40-year design life — the largest single source of faults.	$86M
02	**Track & structures**	Eliminates 22 slow-orders and rehabilitates four at-risk bridges.	$61M
03	**Rolling stock overhaul**	Mid-life overhaul of 90 rail cars, extending service life 15 years.	$48M
04	**Power & substations**	Replaces three substations operating beyond capacity at peak.	$19M

Projected FY28–FY30 returns in reliability and cost avoidance.

+52%

Mean distance between failures

TARGET +40% BY FY30 ON PLAN

−31%

Weekday delay minutes

SIGNAL AND TRACK FIXES ON PLAN

$96M

Avoided emergency repair

OVER THREE YEARS ON PLAN

CONTEXT · THE COST OF WAITING

Every year of deferral makes the backlog more expensive to clear.

Modeled escalation on the current backlog at observed degradation and inflation rates.

+14%	$1.4B	$1.8B	3.2×
ANNUAL BACKLOG GROWTH	BACKLOG TODAY	BACKLOG BY FY30 IF UNFUNDED	EMERGENCY VS PLANNED REPAIR COST

How the request is funded across three sources.

01	**State capital appropriation**	The amount this hearing is being asked to authorise.	$128M
02	**Federal formula match**	Drawn at the 2:1 rate the state request unlocks.	$64M
03	**Farebox capital reserve**	From the dedicated reserve, already accrued.	$22M
04	**Total program**	Fully funded if the state share is approved.	$214M

The federal match is the reason to fund this cycle, not next.

The $64M federal formula match expires at the close of FY2028. A state appropriation now draws it down at 2:1; a one-year delay forfeits the match and raises the state's share of the same work by an estimated $58M.

The network through FY30 without this appropriation.

−22%

Reliability

CONTINUED DEGRADATION AT RISK

$1.8B

Backlog

+$400M VS TODAY AT RISK

$0

Federal match captured

WINDOW CLOSES FY28 AT RISK

Where each funding scenario sits on cost against service risk.

High cost · Low risk.

Full backlog clearance in one cycle

High cost · High risk.

Emergency-only spending, no planning

Low cost · High risk.

Defer the request another year

Low cost · Low risk.

$214M phased request with federal match

The criteria the capital plan was built to meet.

01

Targets the failure drivers

Spend must address the assets actually causing delays, not lowest-hanging cost.

02

Captures available match

Must draw down federal dollars before the formula window closes.

03

Bounded annual ask

State share must stay within the capital-budget growth cap.

04

Measurable reliability gain

Each dollar must map to a projected reliability or cost-avoidance outcome.

Approve the $128M state share to unlock the full $214M repair program.

APPROVE THE STATE SHARE

Captures the expiring federal match and reverses four years of reliability decline.

WHY NOT DEFER A YEAR

Forfeits $64M in match and adds $58M to the state's eventual cost.

WHY NOT EMERGENCY-ONLY

Spends 3.2× more per fix and never clears the backlog.

DEPT. OF TRANSIT · BUDGET.TRANSIT.GOV.EXAMPLE

Fund the repair now, or pay for the failure later.